

EROC pitch deck

PITCH — EROC — VERDICT

PROPOSED — PENDING ADJUDICATION — No position, no orders, no entry today; both benches land FLAT/REJECT, and this deck asks for a *reopen* on evidence, not a starter.

What we believe

ERock sells and installs distributed gas-fired power systems — generators, trailers, install services, and an ongoing service contract that runs afterward. It went public on 6/9/26 at \$21.50 and trades at **\$13.11** today, about 39% below the IPO price and 37% below its 52-week high.

We believe three things, in order of confidence:

1. The demand is real. The company's 10-Q says it has **\$1.8B of signed, unfulfilled contracts** ([remaining performance obligations, 10-Q note](#)), and that number is *higher* than the \$1.7B the company advertised in its press release. When a company's audited filing is more generous than its marketing, the demand datum is trustworthy. We are not disputing that customers want this product.

2. The company cannot currently build it fast enough to hit its own forecast. Management guides to \$435–465M of revenue for 2026. Through June it has done **\$71.6M**. Strip out the ongoing-service line (which is recurring and doesn't move with project delivery), and the actual project business — selling and installing power systems — did **\$42.4M in the first half**. To reach the guide, the second half needs roughly **\$330M of project revenue**. The best sequential quarter on record is Q2's \$26.5M, up 67% from Q1's \$15.9M. Getting from there to a \$130M quarter and then a \$200M quarter is roughly a **+390% sequential step**, twice, against a demonstrated +67%. Nothing in the filing explains how.

3. The stock is not cheap even if you believe the guide. The share count is **272.8M fully diluted**, not the ~219M on the cover page — the difference is 52.4M Class M units that convert into Class A ([antidilutive schedule, 10-Q](#)). That makes the equity worth about **\$3.59B**. The \$626.6M of cash on the balance sheet is almost entirely **customer prepayments** (\$620.7M of contract liabilities and deferred income) — it is money owed in goods, not shareholder money. And there is a **Tax Receivable Agreement** that pays pre-IPO holders **85% of the company's future cash tax savings**, estimated at **\$1,189.8M** if all units are exchanged ([IPO prospectus](#)) — an off-balance-sheet claim worth roughly a third of the market cap that no bull bridge includes.

Put together: **6.5–8.7x revenue on a forecast the company has shown no ability to deliver**, in a business whose first-half revenue *fell 22.6% year over year* (\$92.6M → \$71.6M).

What the market believes

The market believes something close to what we believe, which is why the stock is down 39% from the IPO. The bull case that remains is: the \$1.8B backlog is a queue, the cash pile means the ramp is funded, the inventory build (up 143% in six months, \$43.7M → \$106.1M) is the physical evidence that units are staged for installation, and Q3 is when it shows up. On that view \$13 is a discount to a company that will annualize \$800M+ in 2027.

That is not a stupid case. It is the same facts, read as *timing* rather than *capacity*.

Why we might have edge

Four things we found that we do not think are in the price:

- **The share count.** The cover page and most screens carry ~219M shares. The real fully-diluted number is 272.8M, buried in the antidilutive-securities table. That is a 24% understatement of the market cap, and it is the difference between “5x sales” and “8x sales.”
- **The Tax Receivable Agreement.** A \$1.19B claim (or \$658.1M if terminated early / on a change of control) sitting ahead of common shareholders on the same cash flows. Almost nobody adds this to enterprise value. It moves the multiple by more than a full turn even discounted heavily.
- **The right denominator on the ramp.** Most people compare the guide to total revenue. The service line is 41% of revenue and doesn’t scale with installs. Comparing the guide to *project* revenue only is what turns a scary-but-arguable 5x step-up into an implausible ~8x.
- **The IPO anchor.** This is a broken IPO, priced 6/9/26 at \$21.50. Framing off a two-week window makes \$13 look like “mid-range” or even like chasing strength. Framing off the offer price makes it a stock in an 11-week downtrend with a lockup expiry still ahead.

Why it might be priced in

Honestly, most of it probably is, and this is the strongest argument against us mattering:

- A stock 39% below its IPO in eleven weeks is not a stock the market thinks is executing. We may be carefully proving what the tape already concluded.
- The TRA is disclosed in the prospectus in plain English. Anyone underwriting an Up-C IPO structure knows to look for it. Our “edge” here may be an edge over a lazy screen, not over an actual holder.
- **The demand is genuinely real and we conceded it.** \$1.8B of signed contracts against a \$3.59B market cap is not an expensive number if the delivery problem is a 2026 problem and not a permanent one. Capacity constraints get fixed. Backlogs get worked down. Our entire case is a statement about *this year’s* throughput.
- We could not find a single piece of physical corroboration in either direction. Our workplace-inspection check returned zero sites and our import-shipment check returned no consignees — but zero is what you get for a plant that has never been inspected, and empty is what you get if the generators are US-sourced. We know nothing physical about this company. That cuts both ways.

What could go wrong

Failure narrative 1 — The ramp is real and we watched it from the sidelines

(monitorable). The inventory build is exactly what staging 2027 deliveries looks like, Q3 lands at \$130M of project revenue, and the stock re-rates 60–80% in a day. Tripwire: the Q3 print, and specifically the product + installation lines and whether contract liabilities *fall*. This is the failure we can see coming and the one the reopen band below is designed for. Note that our own re-entry rule is deliberately *late* — we require the confirmation quarter, which means if this is the outcome we pay up for it by construction.

Failure narrative 2 — The price moves for reasons that never appear in this company's filings (NO MONITORABLE TRIPWIRE).

ERock sells power to data centers. Its named counterparties include AI infrastructure buyers. If the market re-rates the entire “power for AI” complex — a large private financing at a headline multiple, a peer's contract announcement, an index add, a policy change on interconnect queues — EROC moves with it and none of our sensors fire, because our whole apparatus points at *this issuer's* documents. There is no filing to watch, no date to arm, no number to threshold. **Unknown-unknown class: adjacent-comp narrative regime shift** — the risk that our unit of analysis (the issuer) is the wrong unit, and the pricing variable lives in a comp set we never modeled. We have no defense against this other than staying small and not shorting it.

Failure narrative 3 — The pre-public record contains something we structurally cannot read (partially monitorable at best).

Two specific holes. First, on 6/11/26 the company did a capital reorganization under common control; there are no standalone pre-reorganization financials in EDGAR, so the comparative figures we are trusting for the “-22.6% year over year” claim rest on carryover-basis accounting we have not verified. Second, and worse: the filing's own data tags reference **Counterparty Two, Counterparty Three, and Vendor One concentration percentages** on both sales and payables — those numbers exist, they are disclosed, and **neither bench could retrieve them**. On a \$1.8B backlog, whether one customer is 60% of it is the whole thesis, in either direction. **Unknown-unknown class: pre-public record opacity** — a three-month-old public company whose operating history mostly lives in documents that were never filed.

The reflexive and structural leg. - *Our size vs. the market's*: immaterial. A 0.25% starter is a rounding error against this stock's daily volume. Our footprint is not a risk; we cannot move this. This is one of the few risks we can dismiss honestly. - *Predicted flow — and this is the real structural problem*: the public float is 48.2M Class A shares against **171.2M Class B units plus 52.4M Class M units** locked up. That is roughly a **5.6x expansion of tradeable supply** when the lockup releases, which we estimate at around **2026-12-06** (180 days from 6/9/26 pricing) but **could not verify** — the lock-up paragraph in the prospectus was unreachable for both benches. Our own reopen trigger is the 11/9 print. That means our house rule against bidding into flow we ourselves predict is *live and being violated by our own plan*: the natural buy date sits roughly four weeks ahead of the largest supply event in this stock's short life. Any reopen must be conditioned on the lockup date being read from primary source first, and sized as if the supply lands. - *Doctrine interactions*: the short side is **barred** — this is a heavily-retail, high-narrative small float, exactly the profile our rules exclude from shorting regardless of how good the bear case looks. So our correct view (we think it's expensive) is unmonetizable except by

not owning it. And our “a clean court with no named kill defaults to a starter” rule does **not** rescue a starter here: there are named kills, three of them confirmed. Absence of a position is the position.

If this position loses money, the most likely reason will be that we bought the confirmation quarter — paying a re-rated price for the Q3 proof we demanded — and then walked straight into the December lockup releasing 4.6 shares of supply for every one currently trading, on a lockup date we never verified from the primary document.

What we checked ourselves

Claim	How checked	Found	Confirmed?
“\$545M of deferred revenue covers the required second half”	10-Q contract-liability rollforward (R13)	Only \$15.8M of the \$170.0M opening balance turned into revenue in six months, while the balance grew to \$528.4M	No — bull claim refuted
<i>Our red bench:</i> “9.3% conversion proves they can’t deliver”	Recomputed by our blue bench	\$55.8M of the half’s \$71.6M was booked <i>and</i> delivered in-period, so revenue isn’t gated on drawing down the stock; the ratio is a mix statistic at any company whose deferred balance is exploding on 2027 slots	Our bench erred — real, but corroborating, not fatal
<i>Our red bench:</i> “the filing’s RPO language contradicts the guide”	Blue bench re-read R12	“A significant portion over the next one to two years” is standard accounting boilerplate and is arithmetically <i>consistent</i> with the guide	Our bench erred — kill overturned
<i>Our red bench:</i> “the service line doesn’t scale”	10-Q revenue disaggregation	Services grew +38% year over year — it’s the only growing line in the business	Our bench erred on the reason; conclusion survived on a better metric
Required sequential step-up	Quarterly split of product + installation	Q2 \$26.5M vs Q1 \$15.9M (+67%); guide needs roughly Q3 \$130M and Q4 \$200M, about +390%	Yes — this is the cleanest kill in the record
Share count ~219M	Antidilutive schedule, R23	48.17M Class A + 171.23M Class B + 52.37M Class M + 1.03M restricted = 272.80M ; market cap \$3.59B	Yes — and <i>both</i> our benches carried the wrong number until the second pass
“\$626.6M of cash makes this funded and cheap”	Balance sheet + contract-liability note	\$620.7M of it is customer prepayments; red called the net position “–\$24M,” which is rhetorical — those liabilities discharge in goods at cost, so free cash is nearer \$190M , plus \$250M undrawn credit	Direction yes, our red bench’s magnitude was wrong
Tax Receivable Agreement	424B4 prospectus	85% of tax savings to pre-IPO holders; \$1,189.8M full exchange, \$658.1M on early termination	Yes — our red bench skipped the one dispatched check that matched this company’s structure
“Not dislocated / you’d be chasing a winner”	IPO pricing record	Priced \$21.50 on 6/9/26; \$13.11 is –39% — a broken IPO, not a mid-range name	Both benches missed it until the second pass

Claim	How checked	Found	Confirmed?
Physical corroboration of the build	Workplace-inspection records (TX + national), import bills of lading	Zero establishments, zero consignees — but inspection records only index <i>inspected</i> sites, and empty consignees is expected for US-sourced equipment	Not informative — red filed this under “kill findings” after tagging it merely plausible; that was a bench error
Year-over-year direction	10-Q R12	H1 revenue \$92.57M → \$71.61M, −22.6% ; Q2 −41.8%	Yes
Lockup expiry date	Full-text EDGAR search + prospectus	11 documents mention lock-up; the operative paragraph was unreachable to both benches; ~2026-12-06 is <i>inferred</i> from the 180-day convention	No — unverified
Customer/vendor concentration	Attempted retrieval of the concentration notes	The data tags confirm the disclosures exist; the note pages were mis-mapped and we never read them	No — not checked
Q3 report date 2026-11-09	Pack provenance	Derived from a data vendor, not a company scheduling release	No — unconfirmed

PROPOSED ENTRY BANDS

Both courts say no entry. There is no buy, no starter, no ladder, and nothing staged. What follows are the reopen conditions.

Why price alone does not reopen this. Run the arithmetic at the level of the benches’ own math. At 272.8M shares, roughly \$190M of genuinely free cash, \$30.2M of debt, and the Tax Receivable Agreement discounted to 30–40% of its \$1.19B face (~\$357–476M):

Price	Market cap	Enterprise value incl. TRA	vs. \$450M (guide mid)	vs. \$252M (second half at 2.5x the first)
\$13.11 (today)	\$3.58B	~\$3.83B	8.5x	15.2x
\$10.00	\$2.73B	~\$2.98B	6.6x	11.8x
\$8.88 (52-wk low)	\$2.42B	~\$2.67B	5.9x	10.6x
\$4.70	\$1.28B	~\$1.53B	3.4x	6.1x

To pay 4x sales on a realistic (non-guide) 2026 outcome, we would need roughly **\$2.80–\$4.70**. That is not a price we expect to see absent a delivery collapse. The honest conclusion: **at any price we are plausibly offered, owning EROC requires underwriting the ramp — so the reopen must be evidence-led, not price-led.**

Reopen band A — the evidence gate (primary). On the Q3 report, currently estimated **2026-11-09 (unconfirmed — a company scheduling release must confirm it first)**, all three must clear: 1. Power-system **product + installation revenue ≥ \$90M** for the quarter (throughput, not orders — this is deliberately below the ~\$130M the guide implies, so it tests the ramp’s existence rather than its

perfection); 2. **Contract liabilities fall by $\geq$ \$150M** in the quarter — the balance must convert, not just accumulate; 3. **Lockup expiry date read from the primary prospectus**, not inferred.

All three → re-court, do not auto-buy. A starter would be **0.25% of book**, in a ladder entry, explicitly sized to survive the December supply.

Reopen band B — the supply event. If the lockup releases (estimated ~**2026-12-06**, unverified) and the stock is offered materially below the post-print level with the delivery evidence from band A already in hand, that is the intended entry, not the print itself. Bidding before the lockup, into flow we ourselves predict, is disallowed.

Reopen band C — falsification of our bear case. A reclaim of the **\$21.50** IPO price on volume, without the delivery evidence, means the market is pricing something we cannot see (failure narrative 2). That reopens the *research*, not a position.

Explicit non-triggers. “Backlog intact” does not reopen this — the whole finding is that backlog and delivery are decoupled. Neither does a new customer announcement, an order, or an RPO increase. Orders are the thing this company already has too many of.

Short side: barred. Small float, high narrative, retail momentum profile. Our rules exclude it regardless of the bear case’s quality.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 4.7 (deck-provisional: first price paying ~4x EV/sales on a realistic \$252M 2026 outcome incl. TRA)
- filing watch: 8-K until 2027-02-21 (deck-provisional: guidance revision, material customer contract, ABL amendment, or any TRA amendment / early-termination)
- dated pack EROC|2026-11-09: EROC: Q3 2026 results — the throughput test; product+installation $\geq$ \$90M and contract-liability drawdown $\geq$ \$150M (date confirmed=False)
- dated pack EROC|2026-12-06: EROC: estimated IPO lockup expiry, 180 days from 6/9/26 pricing — ~5.6x expansion of tradeable supply (date confirmed=False)

What remains unverified

1. **The lockup date.** Estimated 2026-12-06 from convention; the operative paragraph was unreachable to both benches. This is the single largest structural variable and we are guessing at it.
2. **Customer and vendor concentration.** Disclosed in the filing, never read. On \$1.8B of backlog, this could materially help or hurt the thesis.

3. **Gross margin.** The claim that ~\$185M of the customer prepayments is future gross profit rests on an assumed 25–35% margin. Unverified.
4. **The Q3 report date.** Vendor-derived, no company confirmation located.
5. **2025 second-half actuals,** from primary source — we have the full-year run-rate and the first-half comparatives, not the second-half seasonality.
6. **The 6/11/26 common-control reorganization.** No standalone pre-reorganization financials located; the carryover-basis disclosure was not read. Our year-over-year comparisons inherit whatever that note says.
7. **Any physical evidence of the build.** Plant coordinates unresolved; the emissions check (relevant, since this is gas-fired generation sold partly on environmental terms) could not run.
8. **The Tax Receivable Agreement's realistic NPV.** We used a 30–40% haircut as a placeholder. The actual figure depends on exchange timing and taxable income that does not yet exist.
9. **Whether the inventory build is finished goods or work in process.** The 143% increase is the bull's only physical evidence and we do not know what it consists of.

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